

Pharmaceuticals

Industry Size

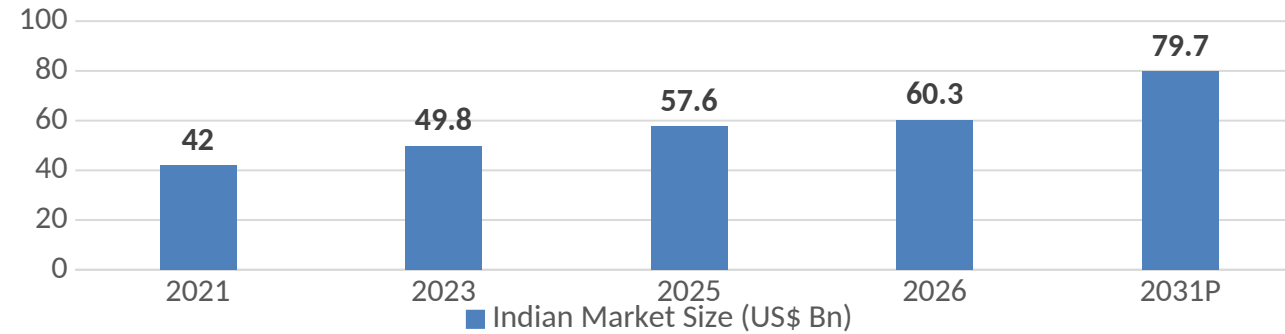
\$60.3 Bn

FY2026

Grow at a CAGR of over 10% to reach a size of US\$ 130 billion by 2030

(Source)

Industry Growth



According to Mordor Intelligence, the Indian pharmaceutical market stood at US\$57.6 billion in 2025, is estimated at US\$60.3 billion in 2026 and is expected to grow to US\$79.7 billion by 2031 at a CAGR of 5.74% (Source)

Key players



Business Model and Industry Product Mix

Key Partners

- Mergers & acquisitions
- Strategic alliances
- Channel partners
- CSR partnerships

Key Activities

- In-house R&D
- Manufacturing
- Testing
- Marketing & distribution

Key Resources

- R&D platform & technology
- Intellectual property
- Personnel
- Internal integration

Value Proposition

- Blockbuster drug offering
- Science-based innovation
- Broad product range
- International reach

Customer Relationships

- 24/7 customer assistance
- CRM-led relationships
- Sales staff & online presence

Channels

- Pharmacies & distributors
- Website & social media
- Sales staff

Customer Segments

- Mass market
- Patients & doctors (B2C)
- Healthcare institutions

Cost Structure

- R&D costing
- Cost of manufacturing
- Internal management & marketing
- Taxes & general administration

Revenue Streams

- Sales of products
- Licensing & patents
- R&D services
- Strategic alliances

Key Segments



Active Pharmaceutical Ingredients (APIs)



Contract Research And Manufacturing Services (CRAMS)



Biosimilars



Formulations

Pharmaceuticals

Value Chain

1. R&D and Testing

- Companies invest in pre-clinical and clinical trials to develop new drugs
- Regulatory approvals are required, and patents are granted for successful trials



2. Manufacturing

- Generic and patented drugs are produced using APIs
- Manufacturing is done under strict quality control to ensure safety and compliance



3. Packaging & Distribution

- Finished drugs are packaged and labeled as per regulatory norms
- Products are distributed to hospitals, pharmacies, and clinics through a warehousing and logistics network



4. Retail & Dispensing

- Consumers access medicines via prescriptions from hospitals or pharmacies
- Over-the-counter drugs may be purchased directly.



5. Post-market Monitoring

- Companies track drug performance; in case of safety issues, product withdrawals may occur

Porter's 5 Forces

Threat of New Entrants

Low

High R&D costs, strict regulations, and brand trust make it hard for new players to enter. Existing players also hold patents which makes it difficult for new players.

Bargaining Power of Buyers

Medium

Buyers (like hospitals, pharmacies, and governments) have some power due to many drug choices.

End consumers have low bargaining power as they rely on prescribed drugs

Bargaining Power of Suppliers

Low

Pharma companies require different bulk and specialty chemicals to develop drugs which is supplied by many firms.

The switching cost for pharma companies is low hence allowing them to pick from various suppliers.

Threat of Substitutes

Medium

Alternatives like homeopathy, Ayurveda, or biologics can partially replace allopathic drugs. There is increased pressure from the market of generics drug due to their low cost

Industry Rivalry

High

Many companies compete on price, volume, and export markets, especially in generics.

Growth Drivers

- **Rising domestic healthcare expenditure** driven by increasing incomes, urbanization, and greater health awareness.
- **Growing burden of chronic diseases** (cardiac, diabetes, oncology) increasing demand for long-term therapies.
- **Expansion of health insurance** improving access to medicines
- Strong export demand from **US, Europe, and emerging markets**, with pharmaceutical exports reaching **US\$30.5 billion in FY25**
- **Production Linked Incentive (PLI) Scheme** encouraging domestic manufacturing and product diversification
- **Biopharma SHAKTI initiative (US\$ 1.08Bn)** to strengthen biologics, R&D, and reduce import dependence
- Expansion of **Jan Aushadhi Kendras** increasing affordability and penetration of generic medicines
- Over **500 API manufacturers** and the largest number of **USFDA-approved plants outside the US** [\(Source\)](#)

Emerging Trends

- Increasing investments in biologics and biosimilars are shifting the industry toward higher-value therapies, supported by initiatives such as **Biopharma SHAKTI**
- Indian pharmaceutical companies are actively pursuing acquisitions, licensing deals, and global collaborations to expand product portfolios and strengthen international market access
- Capacity expansion in APIs and formulations is accelerating under the PLI scheme to reduce import dependence and strengthen supply-chain resilience
- AI, automation, and digital technologies are increasingly being integrated into drug discovery, manufacturing, and quality management to improve efficiency and speed
- Capacity expansion in APIs and formulations is accelerating under the PLI scheme to reduce import dependence and strengthen supply-chain resilience
- Greater focus on novel drug development, complex generics, and specialty pharmaceuticals is improving long-term competitiveness [\(Source\)](#)

Recent Investments/M&A

- **Sun Pharmaceutical Industries' \$11.75 billion acquisition of Organon & Co.:** India's Sun Pharmaceutical Industries and Organon & Co announced a definitive agreement under which Sun Pharma will acquire all outstanding shares of Organon for \$14.00 per share in an all-cash transaction with an enterprise valuation of \$ 1.75 billion [\(Source\)](#)
- **Zydus Lifesciences seals \$150 million Sterling Biotech deal:** India's Zydus Lifesciences has entered into a strategic deal to acquire select assets of Sterling Biotech, strengthening its specialty therapies portfolio and expanding manufacturing capacity. The transaction, valued at approximately \$150 million, gives Zydus access to the Indian company Sterling's fermentation-based active pharmaceutical ingredient (APIs) and niche therapeutic capabilities. [\(Source\)](#)
- **Lupin completes acquisition of VISUfarma:** India-headquartered Lupin Limited revealed the completion of its acquisition of VISUfarma, a European specialty pharmaceutical company focused on ophthalmology, from GHO Capital Partners LLP (GHO). The acquisition represents a significant milestone in Lupin's strategy to expand its specialty care portfolio and strengthen its presence in Europe. [\(Source\)](#)

Key Business Risks

- Access to healthcare in India is inadequate in comparison to the size of the population. About 29 skilled health workers are available for every 10,000 people in India compared to about 41 in China, and about 111 in the United States
- Lack of a stable pricing and policy environment favourable for long-term investment decisions
- Indian pharmaceutical companies have been slow to grow in the innovation space (e.g., new molecular entities, complex generics), with a limited government-supported research ecosystem
- Around 80 percent of India's requirements for Active Pharmaceutical Ingredients, by volume, are fulfilled by China, putting importers at the risk of supply disruptions and unexpected price movements
- Generics exports, specifically to the US, were a key driver of double-digit growth for top Indian pharmaceutical companies over the last few years [\(Source\)](#)